

ACC Ltd - Stock Research Report

NSE: ACC | BSE: 500410 | Cement & Building Materials | Prepared on 23 Jul 2026

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Stock Snapshot

Company / ticker	ACC Ltd - NSE: ACC, BSE: 500410
Sector	Cement & Building Materials
Current context	ACC is part of the Adani Group cement platform with Ambuja Cements. The company has reported rapid volume expansion, remains debt-free, and trades at a relatively modest earnings multiple versus several large-cap cement peers.

Fundamental View

Metric	Current	1-Year View	3-Year View	Quick Interpretation
ROCE/ROC	~12.5%	~13-14% FY25 estimate	~8-10% FY23 estimate	Improved sharply from FY23; not yet best-in-class.
ROE	~11.8%	~13%+ FY25 estimate	~6% FY23 estimate	Strong recovery after weak FY23 profitability.
P/E	~11-12x	Below several major cement peers	Below peak-cycle valuation	Reasonably valued rather than expensive.

Key valuation signal: P/E of roughly 11-12x appears attractive versus many cement large-caps, but the discount is partly justified until margin recovery becomes more consistent.

Why Stock Is Rising or Falling

- Strong volume growth and record quarterly cement sales have supported market sentiment.
- Cost reduction initiatives include higher green energy usage, WHRS, petcoke optimization, logistics synergies, and Adani Group scale benefits.
- Recent earnings have still shown volatility, mainly because cement prices and regional competition affect realizations and EBITDA margins.

Critical driver: margin durability is the main variable to watch; volume-led growth is visible, but pricing discipline will decide earnings quality.

Future Expansion Plans

- Commissioned a 1.5 MTPA brownfield grinding unit at Sindri, strengthening ACC in eastern India.
- Expanding ready-mix concrete footprint and premium product portfolio to improve realization and customer mix.
- Aiming for a materially higher green-power mix, with continued investment in WHRS and renewable/green power usage.
- Benefits from integration with the broader Adani cement ecosystem, including procurement, logistics, and distribution optimization.

Strongest opportunity: scale integration with Ambuja/Adani ecosystem can improve cost efficiency if executed without weakening cement pricing.

Peer Comparison

Company	Strength	Weakness	Valuation View	Overall
ACC	Debt-free balance sheet, strong brand/distribution, Adani backing.	Margins still below best-in-class peers.	Attractive relative to quality peers.	Good value play.
Ambuja Cements	Strong cash position and aggressive expansion roadmap.	Large capex execution risk.	Fair.	Strong platform play.
UltraTech Cement	Industry leader with best scale and diversification.	Premium valuation.	Expensive versus ACC.	Best quality peer.
Shree Cement	Historically strong efficiency and profitability.	Growth momentum has been slower than some peers.	Moderate-premium.	High quality.
Dalmia Bharat	Strong regional franchise and capacity growth.	More cyclical earnings and regional exposure.	Reasonable.	Attractive growth option.

Decision Summary

- Positive: Debt-free balance sheet, reasonable valuation, strong volume growth, capacity additions, and Adani ecosystem benefits.
- Watch-outs: Cement pricing remains cyclical; margin recovery is still not fully proven; large industry capacity additions could pressure prices.
- Best peer: UltraTech Cement remains the quality benchmark. ACC offers better valuation comfort and a more value-oriented cement exposure.

Overall view: Hold-Watch / Buy-on-corrections. ACC looks attractive for long-term exposure to India infrastructure and housing growth, but sustained margin improvement is the key confirmation trigger.

Sources Checked

- ACC Investor Relations - financials and reports
- ACC Integrated Report 2024-25
- Adani Group media release - ACC robust quarterly performance
- Economic Times - ACC stock data and quarterly summary
- Ticker by Finology - valuation and ratio reference

Note: Ratio values can differ across market-data providers due to trailing period, consolidated vs standalone treatment, and timing of price updates. Use exchange filings and latest results for final validation.